

From 1 July 2016, a primary producer affected by drought can withdraw their FMDs before 12 months without losing their taxation benefits, if they:

- made their FMD in the previous financial year, and
- claimed a deduction for the FMD in the previous financial year's tax return, and
- have held their FMD for at least six months, and
- can demonstrate that an area of their farming property has been affected by a rainfall deficiency for the six consecutive months immediately prior to the withdrawal of the FMD. To be eligible, the rainfall must be within the lowest five per cent of recorded rainfall for their property, based on Bureau of Meteorology rainfall records, for that six-month period (see below).

If a primary producer withdraws their FMD early because of drought (based on rainfall deficiency), they cannot claim a tax deduction for any further deposits made in that financial year.

FMD holders solely carrying on one or more of the following primary production businesses are not eligible to access their deductible FMDs under the drought early access provisions:

- commercial fishing, pearling and related activities
- tree felling
- transporting trees that you logged for milling or processing

Eligibility for early withdrawal

You can check your potential eligibility for early withdrawal based on drought by using the Rainfall Analyser map below. This tool allows you to locate your property and identify whether it has met the required rainfall deficiency at a particular time. To be eligible, an area of your farming property must be in a red shaded area on the map. If it is, and prior to making an early withdrawal, it is important that you request a Rainfall Deficiency Report from the department for your taxation records (see below).

To obtain your concessional tax treatment you need to ensure that any withdrawal occurs before the end of the month immediately following that 6-month drought period.

For further information on early withdrawal based on drought, please see the [FMD Rainfall Analyser FAQs](#).

Using the Rainfall Analyser

Find your location

In the search bar, enter your property address or latitude and longitude (format e.g. -36.9181, 140.1398).

Request a Rainfall Deficiency Report

- If part of your property is in a red shaded area on the map, you can request a Rainfall Deficiency Report from the department, which will confirm your rainfall deficiency status and eligibility for early withdrawal at that particular time.
- Please [send an email to FMD Returns](#) requesting a report. In your request, clearly state the month and year for which eligibility confirmation is being sought (i.e. the month FMD funds are withdrawn) and list the latitude and longitude of an area of your farming property.
- The department will generate a PDF report for your records, based on the date and location details you provide, which will be sent to you via return email. The department will endeavour to provide reports within seven business days.

Note: The Rainfall Analyser automatically defaults to using the latest monthly data. If you wish to view historical rainfall deficiency, you can select the year and month from the Layers tab, located below the search bar. The monthly data layers can be turned on and off by clicking on them. Be sure to ensure only the relevant monthly layer is enabled/visible.

The historical data in the layers tab reflects the month a withdrawal would be eligible, if a location is shaded red. For example, the October 2023 layer presents data for the six consecutive months immediately prior to October (i.e. the 6-month period from 1 April to 30 September). If part of your property was in a red shaded area of the map on the October 2023 layer, you would be eligible to make an early withdrawal in October 2023. But you would require a Rainfall Deficiency Report from the department to demonstrate your eligibility.

If you experience any technical difficulties with the Rainfall Analyser, please [contact FMD Returns](#).

Notes

Rainfall deficiency is used to describe the situation where there has been less rainfall over a given period of 6 months when compared with similar periods over the whole historical record (since 1900). A 1 in 20 rainfall event is an indication of how many times such low rainfall would be likely to occur at a location in a 20 year period: so for every 20 years you could expect to get low rainfall like this just once. This is also more accurately known as being at, or below, the 5th percentile (or within the lowest 5% of rainfall records).

Rainfall deficiency data is calculated from the Bureau of Meteorology's (BoM) national Australian Water Availability Project (AWAP) gridded rainfall dataset. The AWAP dataset provides a nationally consistent, long-term record of rainfall which includes observed rainfall data from 1900 to present. National rainfall deficiency datasets are produced on a monthly basis at an approximately five kilometre horizontal resolution.

Disclaimer

The Rainfall Analyser and Rainfall Deficiency Reports generated by the Department of Agriculture, Fisheries and Forestry are based on BoM rainfall data, for the sole purpose of the FMD Scheme. You

may use the report to demonstrate whether or not a location has been subject to rainfall for six consecutive months that is at, or below, the fifth percentile of the rainfall records held by BoM in respect of that location for that six-month period. You must not use, copy, reproduce or distribute any part of the report for any other purpose.

The information contained in the Rainfall Deficiency Report includes estimates which are generated based on the location information submitted by the user and the rainfall record data available to the BoM. The estimates are subject to the uncertainties of scientific and technical research and may not reflect actual rainfall at a particular location.

It is recommended that you seek independent taxation advice on your situation prior to early withdrawal of an FMD.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/drought/fmd/fmd-rainfall-analyser>